

# **Part 2: Identifying Candlestick Patterns**

**Presented By:  
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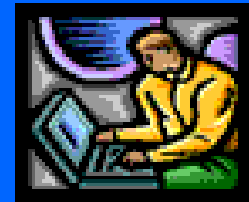


## **Part 2: Identifying Candlestick Patterns**

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- **Today we will Learn two key Candlestick patterns which help identify key reversals and shifts in momentum.**
- **Learn how candles can help you discover conditional changes in the markets and how to use them to ride trending market conditions.**
- **This section of the series will instruct you as to when to enter a position.**

# Technical Approach to Trading



- Traders use different forms of analysis.
- The four common denominators that we all have to work with is Open, High, Low & the **CLOSE**.
- It is how we analyze , interpret and act on the information that makes us different as traders.

# Technical Approach to trading

- The markets do give you clues .
- These are the “set-ups” traders look for.
- “TRIGGERS” are the actual signal that is generally based off of a signal from the **CLOSE** of a specific time period

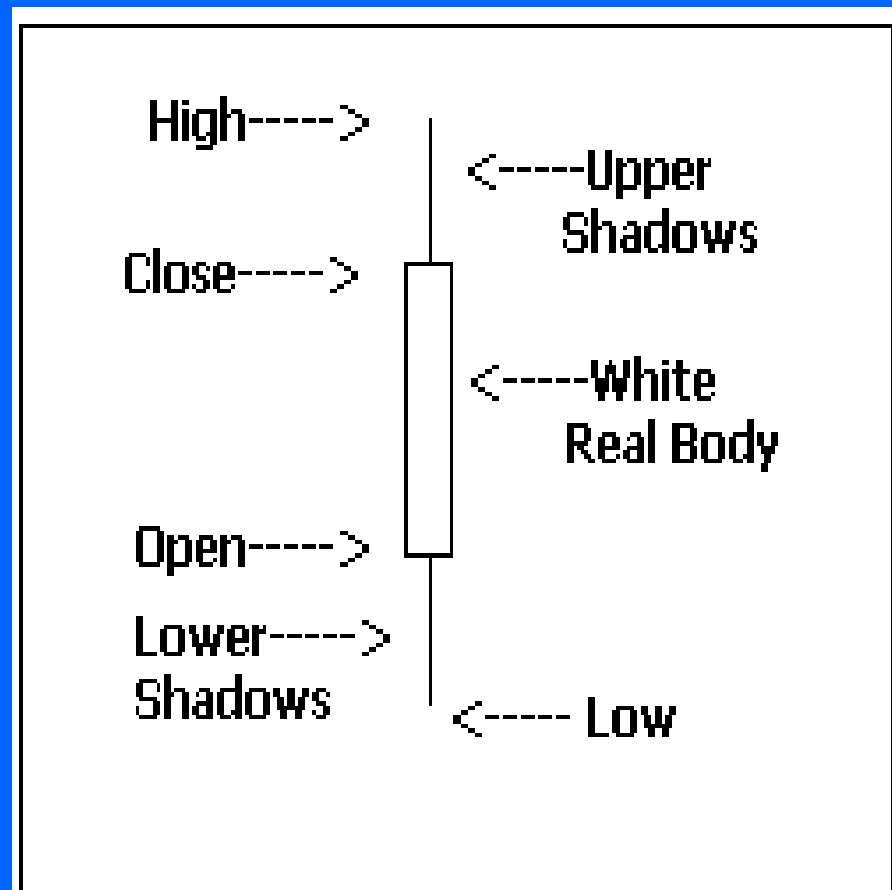
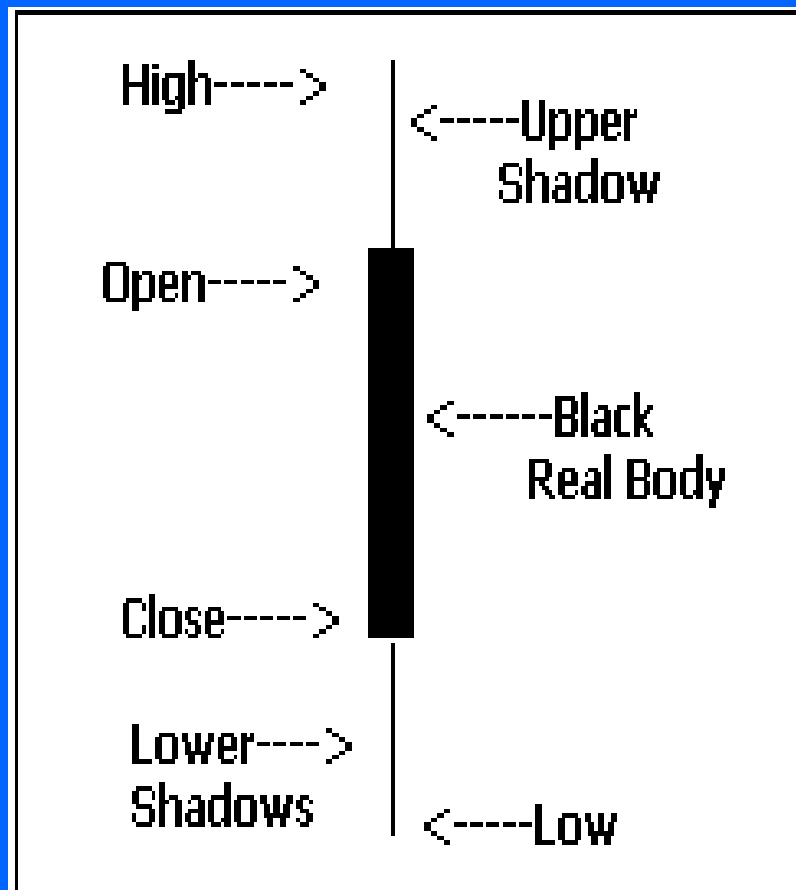


# Technical Approach to trading

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- Indicators, Oscillators and Moving Averages are derived from **PRICE**.
- Most price patterns (Flags, H&S, Pennants) are formed from prices in consolidation periods.
- If you can **TRAIN** your eyes to look for certain signals in PRICE then you are one step ahead of the crowd.

# Basic Candlestick Construction

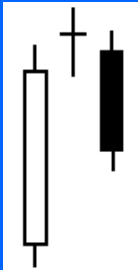


# Candlestick Characteristics

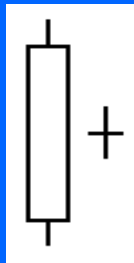
- Relationship between Open and Close \* body
- Real body color's
- Shadows and correlations to candle body
- Size of shadows
- Range or length of the candle
- Candles give us immediate identification of the markets current environment and the market participant's acceptance or rejection or a support or resistance level in a clear visual manner.

# Candle patterns To Know

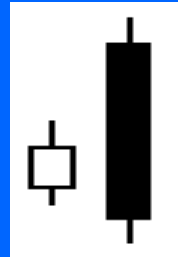
Evening Doji Star



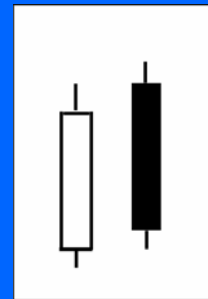
Harami Doji Cross



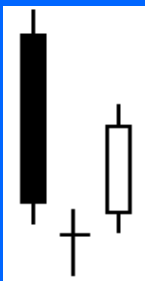
Bearish Engulfing



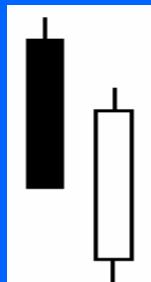
Dark Cloud



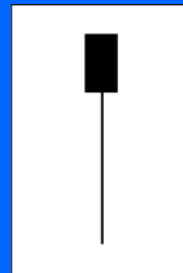
Morning Doji Star



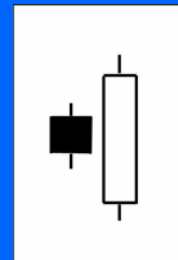
Bullish Piercing



Hammer



Bullish Engulfing





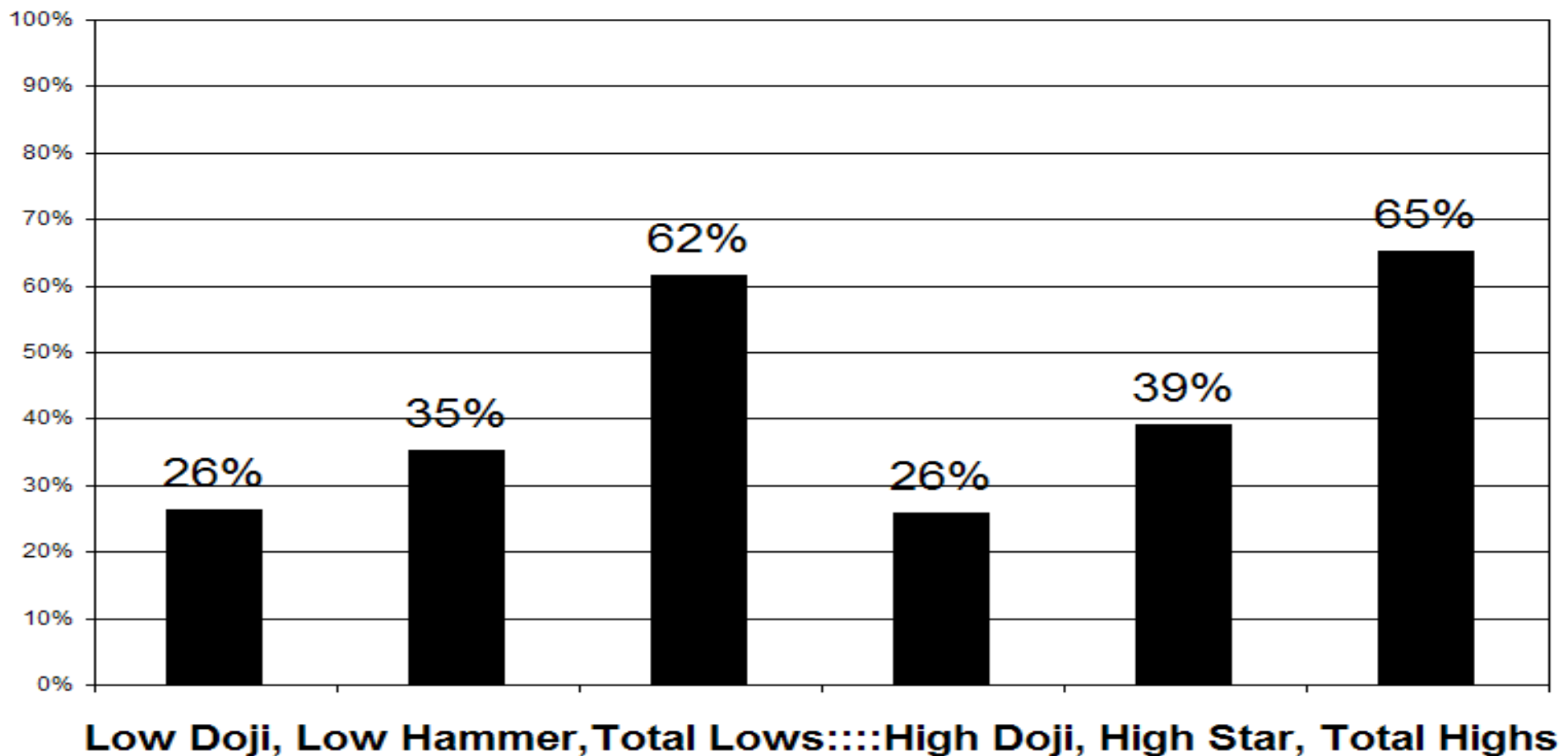
# Focus on Hammers & Doji's

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- There are over 60 Candle patterns some forming Two, Three Four and Five or More combinations acting as signals warning of impending moves.
- Few offer signals as to continuations.
- ***HOWEVER....*** There is a high frequency that Highs and Lows occur with specific formations specifically with Doji's, Hammers, and Stars.
- How frequent and which formations?

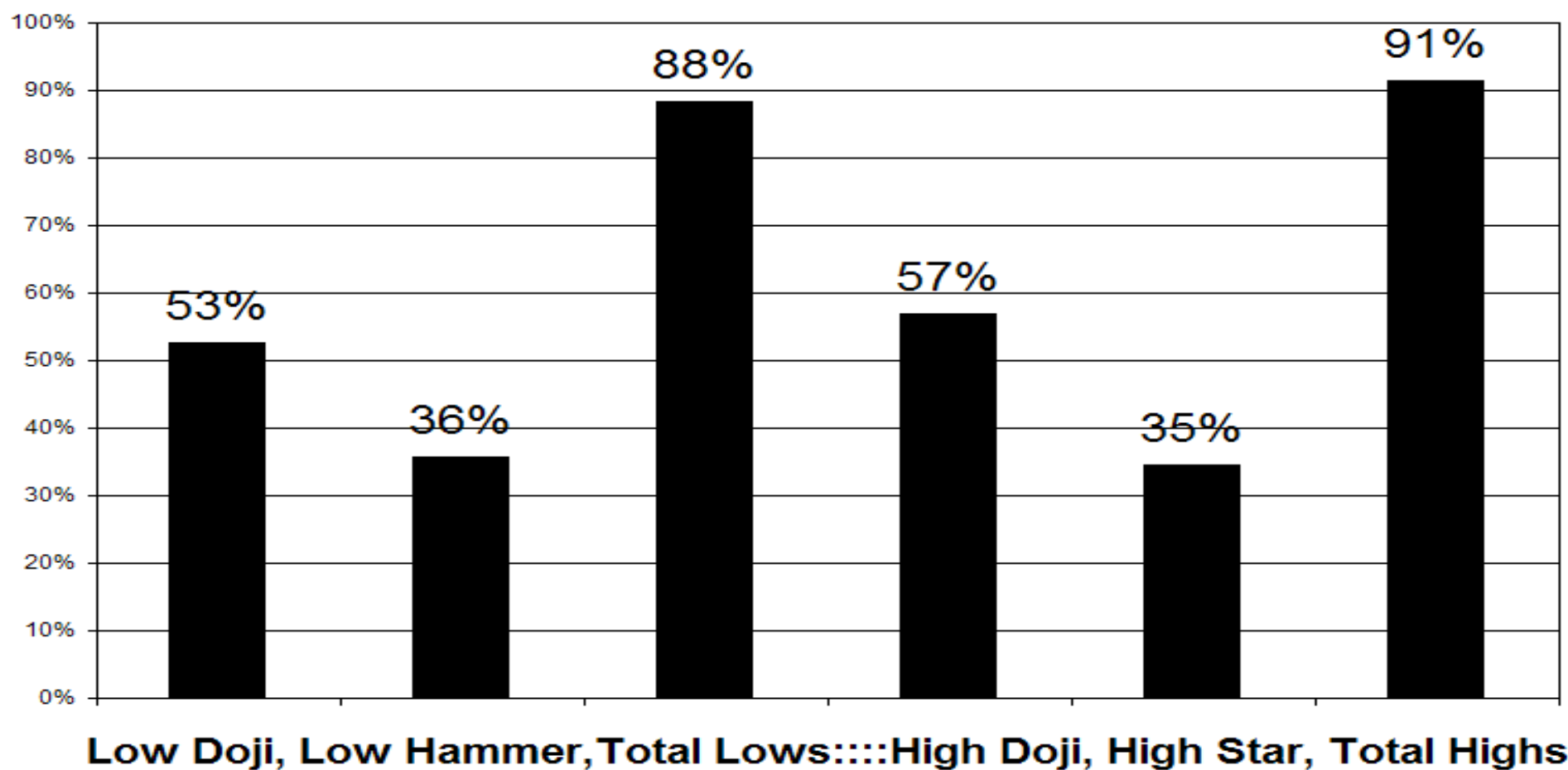
# ***Back Test results with [www.genesisft.com](http://www.genesisft.com)***

## **Mini Dow Lows and High**



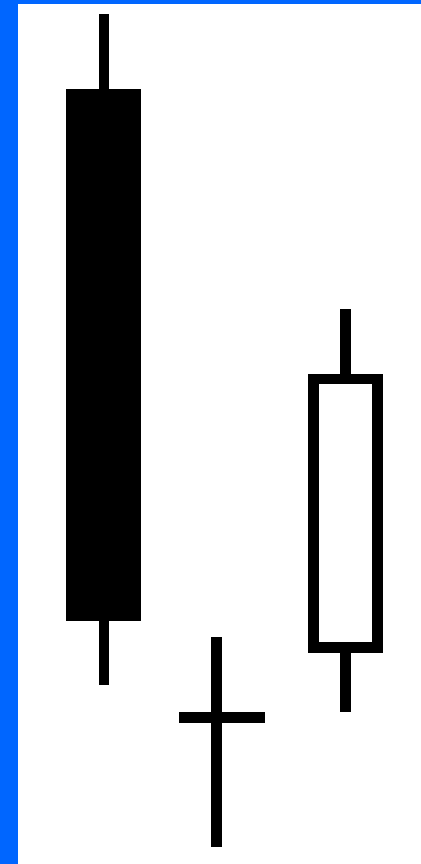
# ***Back Test results with [www.genesisft.com](http://www.genesisft.com)***

## **Bonds Lows and High**



# Doji Candlestick properties

- DOJI Closes at or near open
- Helps confirm reversals
- Has different names
- Helps form two or three candle pattern.

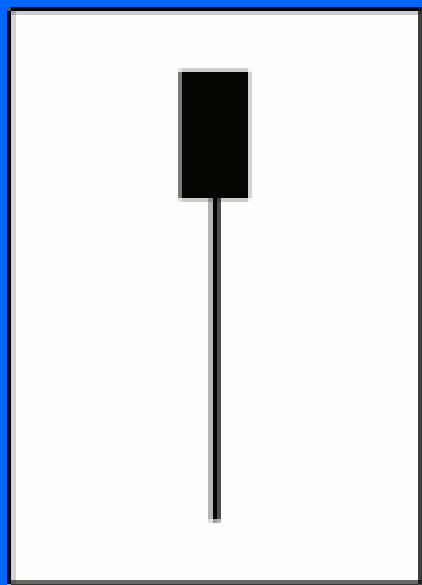


# Hammer Reversal Candles

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- The characteristics required to form a hammer candlestick are that the lower shadow should be at least two times the length of the body.
- There should be little or no upper shadow and the color, meaning a lower close than the open or a higher close than the open does not matter.

# Hammer Reversal Candles



- Named “Takuri”
- After a downtrend once a hammer forms, the next candle with a higher close above the hammers high triggers a buy signal.
- The longer the Shadow the more bullish the signal.
- Large Volume also indicates an exhaustion bottom has occurred.

# Hammer Reversal Candles



# ***Trading Rules: JACK HAMMER***

- This formation is an extremely powerful bottoming reversal pattern that requires immediate action to enter a long position. You are looking to buy near a support target. It usually occurs *mid to late* in the trading session.
- A.) This action generally completes a bullish Convergence in the Stochastics or MACD Oscillator.
- B.) Buy on the Close or the next time periods open, initial risk is a regular stop below the hammers low.
- C.) Give additional importance if this pattern develops near Pivot Point Support targets especially if there is a confluence of Pivot support targets from different time frames.

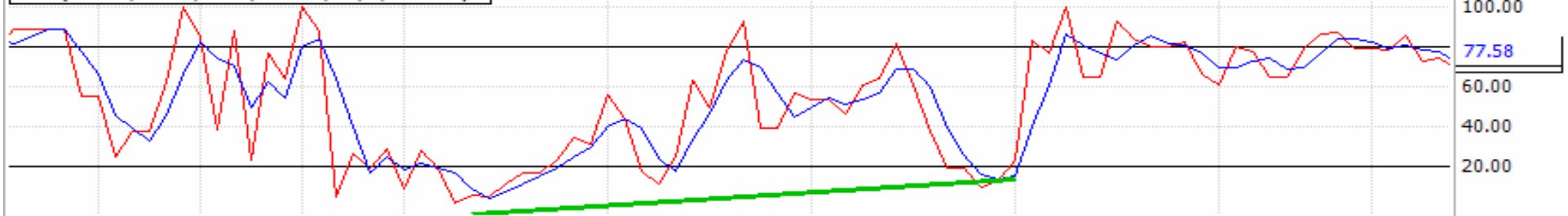


# JACK HAMMER

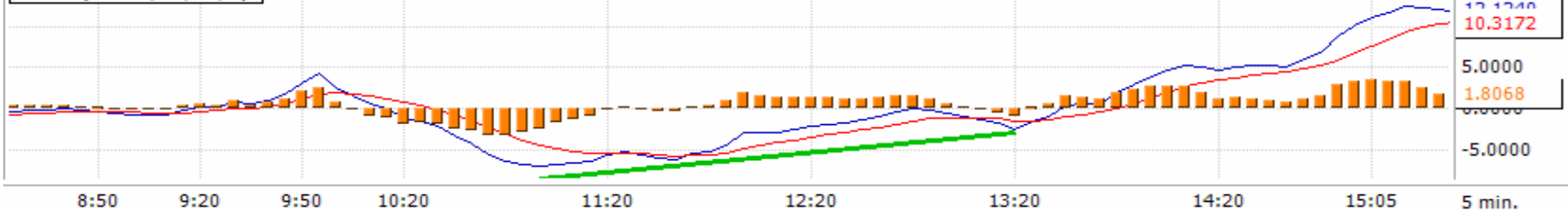
EYMZ5 O: 10488 H: 10535 L: 10487 C: 10518 Δ: 23



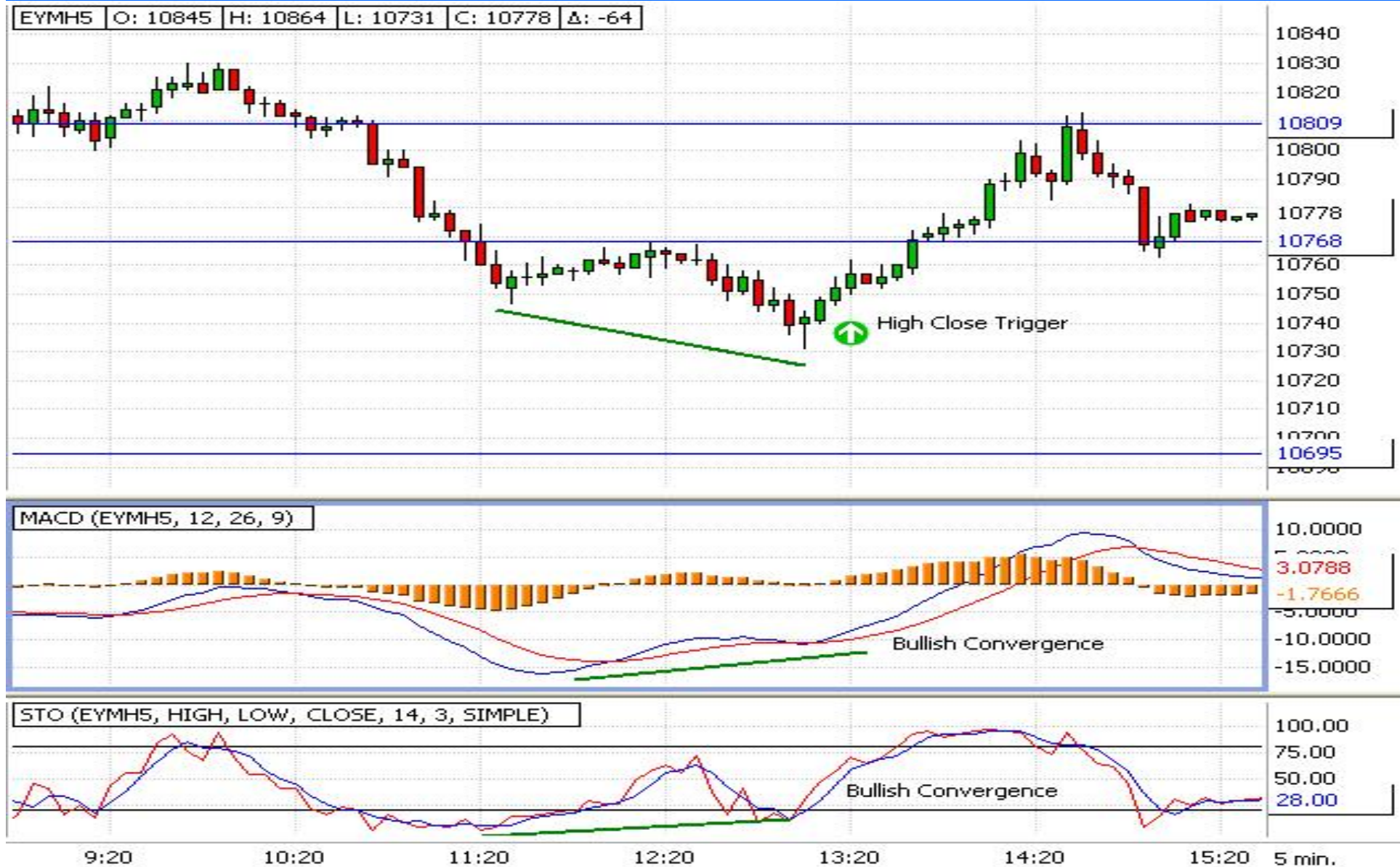
STO (EYMZ5, HIGH, LOW, CLOSE, 14, 3, SIMPLE)



MACD (EYMZ5, 12, 26, 9)



# JACK HAMMER



# JACK HAMMER

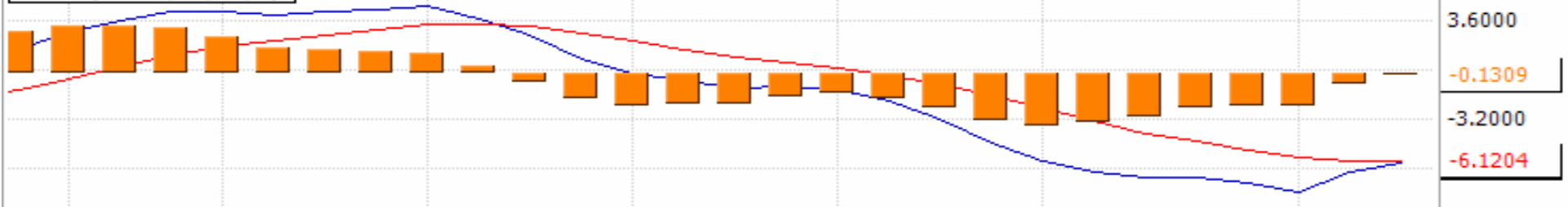
EYMZ5 O: 10430 H: 10456 L: 10388 C: 10415 Δ: -16

The "Before" Shot

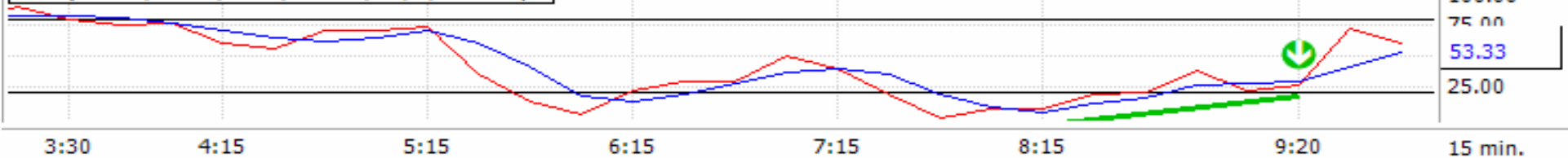
"Watch 10386 for initial support, resistance should come into play at 10460."

(As quoted from the Daily Dow report.)

MACD (EYMZ5, 12, 26, 9)



STO (EYMZ5, HIGH, LOW, CLOSE, 14, 3, SIMPLE)



3:30 4:15 5:15 6:15 7:15 8:15 9:20 15 min.

## The “After” shot

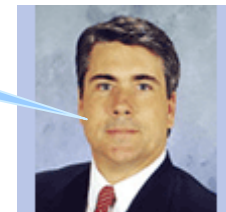
Market rallied substantially  
based off the “Jack Hammer”  
formation! Also 1<sup>st</sup> higher  
closing high breakout!



# JACK HAMMER

Intraday (Left) /YM6 - Mar 06 Dow Jones Ind mini (5-Min) Bar

Back Test results combined with Pivot, M/A & Higher close gives added importance to this trigger!

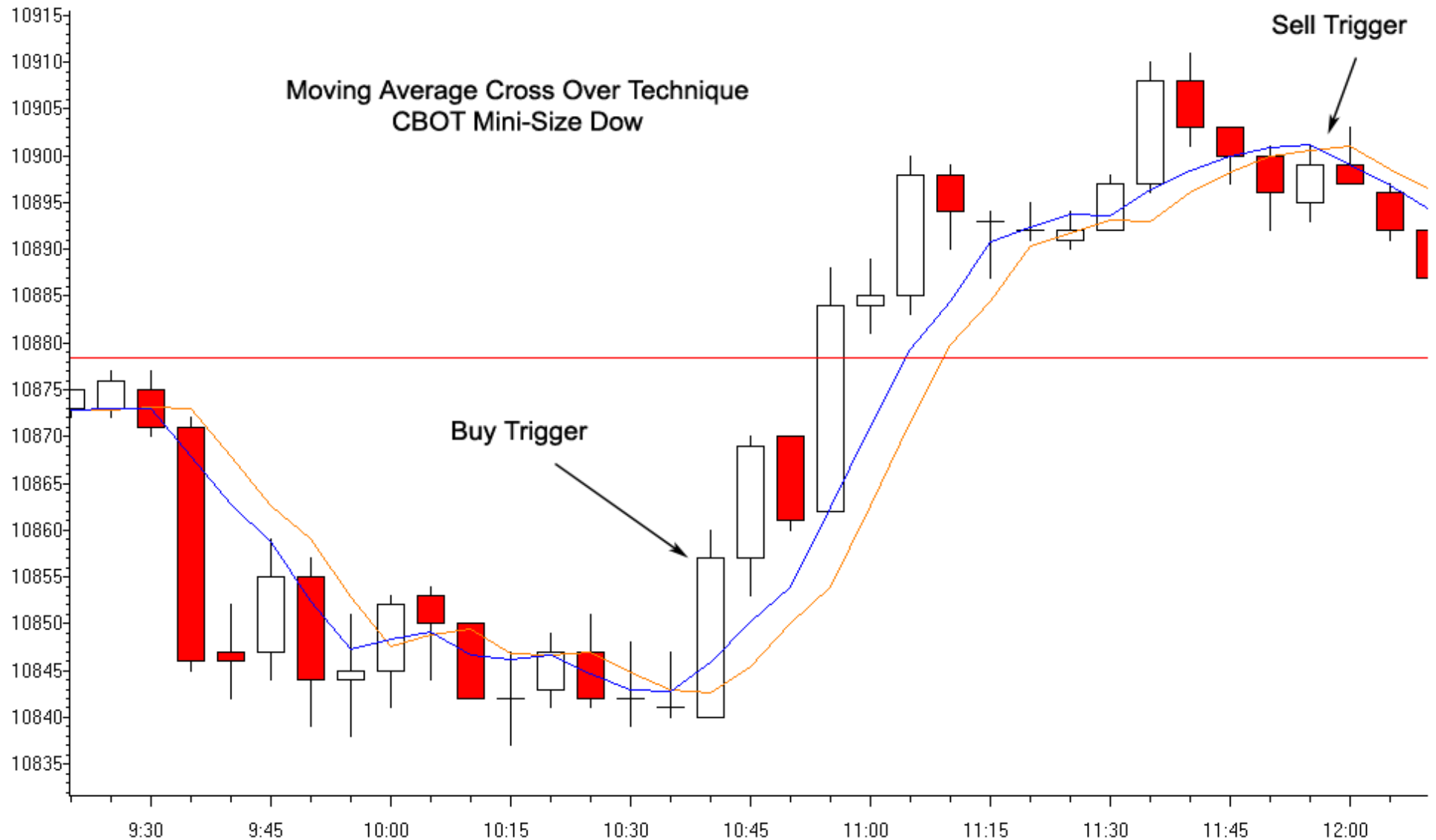


# HCD Trade Strategy

- Buy on the close or on the next open after a new closing high is made from a **Doji**, against a key Pivot Point Support Target number.
- Place stops below the lowest low point of the Bullish Candle. These should *initially* be Stop Close Only's.
- Sell or exit the trade on the *close* or the next open of a candle that makes a lower closing low near an important Key Pivot Point target resistance number.

# High Close Doji Setup

Intraday (Left) /YMH6 - Mar 06 Dow Jones Ind mini (5-Min) Bar





# High Close Doji Setup

Intraday (Right) /YGG6 - Feb 06 Gold mini CBOT (15-Min)

HCD near Pivot Point Target support generates high quality setup & trigger



High Close Doji Trigger  
At Pivot Point Support

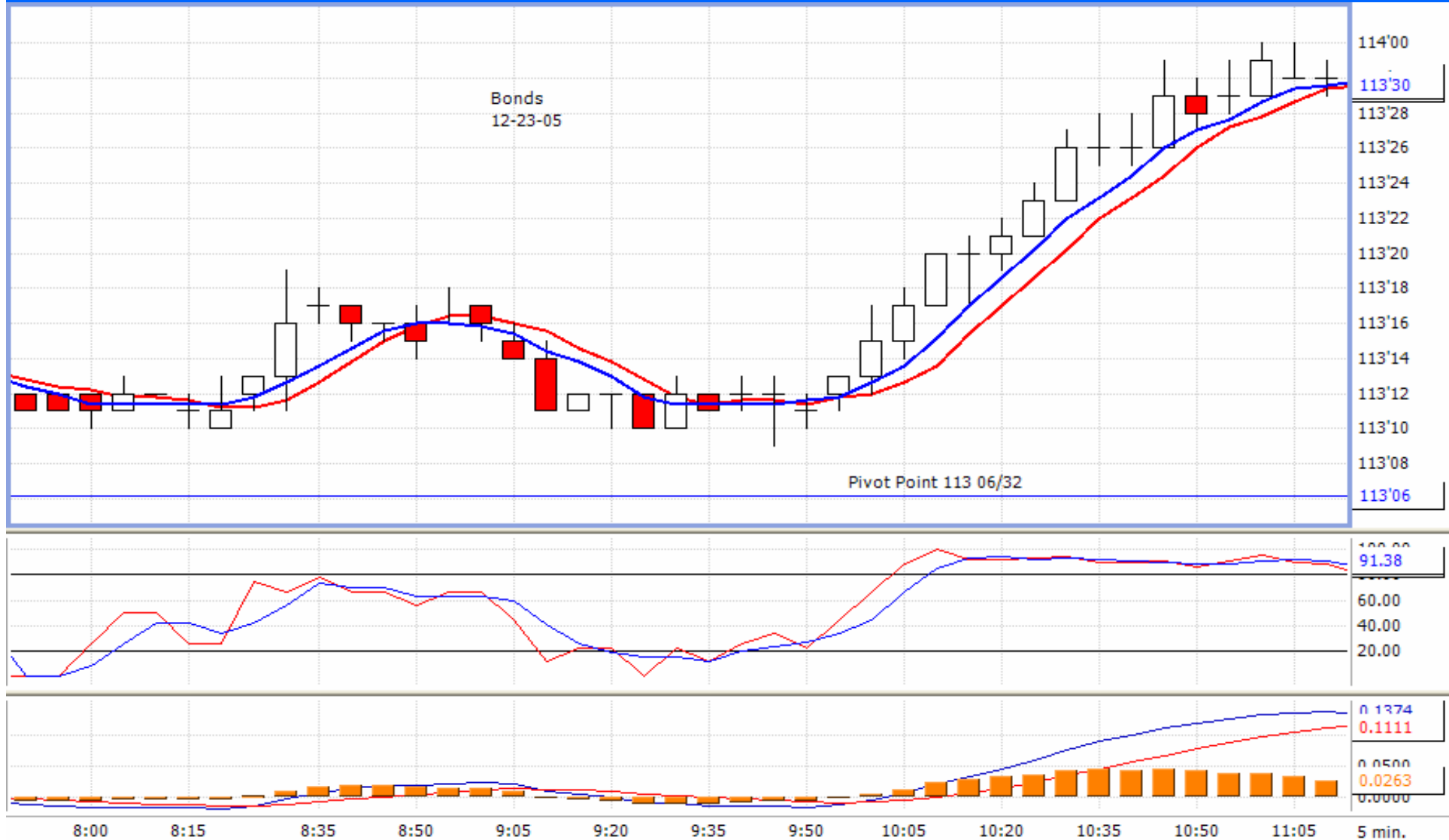
Notice that prices make  
Higher closing highs and do not  
make a lower closing low until the top!

1st lower closing low





# High Close Doji Setup



# Sample HCD - Back Test Results



|                           |           |                                  |           |
|---------------------------|-----------|----------------------------------|-----------|
| Overall                   |           |                                  |           |
| Total Net Profit:         | \$60,388  | Profit Factor (\$Wins/\$Losses): | 2.4       |
| Total Trades:             | 59        | Winning Percentage:              | 64.4%     |
| Average Trade:            | \$1,024   | Payout Ratio (Avg Win/Loss):     | 1.38      |
| Avg # of Bars in Trade:   | 317.49    | Z-Score (W/L Predictability):    | -0.4      |
| Avg # of Trades per Year: | 20.9      | Percent in the Market:           | 72.6%     |
| Max Closed-out Drawdown:  | -\$10,700 | Max Intraday Drawdown:           | -\$14,075 |
| Account Size Required:    | \$16,370  | Return Pct:                      | 368.9%    |
| Open Equity:              | -\$713    | Kelly Ratio:                     | 0.3855    |
| Current Streak:           | 2 Losses  | Optimal f:                       | 0.74      |
|                           |           |                                  |           |
| Winning Trades            |           | Losing Trades                    |           |
| Total Winners:            | 38        | Total Losers:                    | 21        |
| Gross Profit:             | \$100,900 | Gross Loss:                      | -\$40,513 |
| Average Win:              | \$2,655   | Average Loss:                    | -\$1,929  |
| Largest Win:              | \$11,038  | Largest Loss:                    | -\$10,663 |
| Largest Drawdown in Win:  | -\$6,075  | Largest Peak in Loss:            | \$5,413   |
| Avg Drawdown in Win:      | -\$914    | Avg Peak in Loss:                | \$1,214   |
| Avg Run Up in Win:        | \$3,281   | Avg Run Up in Loss:              | \$1,214   |
| Avg Run Down in Win:      | -\$914    | Avg Run Down in Loss:            | -\$3,732  |
| Most Consec Wins:         | 7         | Most Consec Losses:              | 4         |
| Avg # of Consec Wins:     | 2.92      | Avg # of Consec Losses:          | 1.62      |
| Avg # of Bars in Wins:    | 284.89    | Avg # of Bars in Losses:         | 376.48    |

## **Part 3: High Probability Trading Techniques**

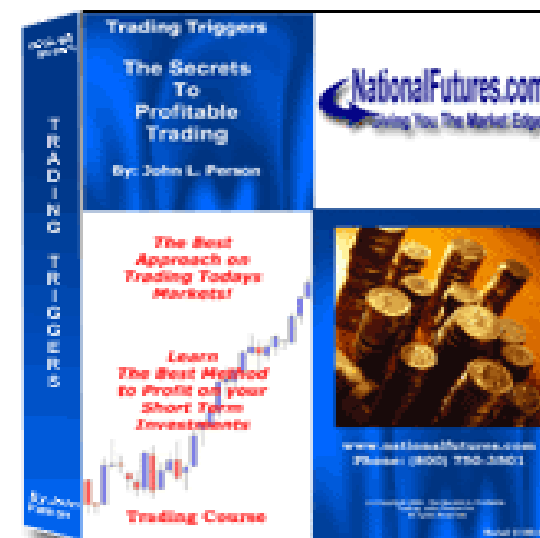
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- **Learn to develop and design a trading program combining both techniques. You will also learn how to manage a trade after the initial set-up and trigger of the entry is made.**
- **You will discover what to look for in determining the strength of a trending market condition and why it is important to use various time frames and, more importantly, which time periods to trade with in order to help confirm your entries and exits.**
- **I will introduce you to the genesis software proprietary signals, generated from the principles taught in the last three sessions...**



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- **All of the material covered in these sessions are fully disclosed in the “Trading Triggers” advanced trading course complete with workbook & two multimedia CD’s.**



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- ***Now open for Questions.***